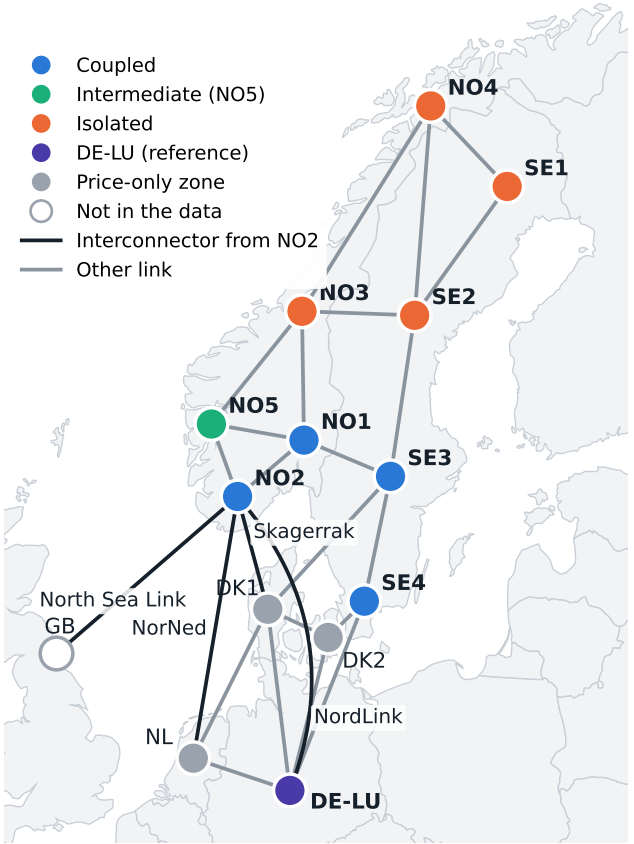



# Diverging Nordic electricity markets: what day-ahead forecasts reveal about price formation

Co-movement with Germany-Luxembourg split in Sweden in 2020 and in Norway in 2021; NO5 now lies between the two groups

**1** **Wind and solar forecasts improve price forecasts little in Norway, much in Sweden and Germany**

Loss in relative error without them: 0.017 Norway, 0.036-0.073 Sweden, 0.130 Germany-Luxembourg

**2** **Neighbouring prices add little beyond each zone's own price history**

Small gain in every zone, not larger in coupled zones

**3** **One model serves all market types**

LightGBM fitted per hour cut Nordic errors by 24-37% against repeating the previous day's prices